



**ZIMBABWE INTEGRATING CAPITAL AND RISK PROGRAMME
(‘ZICARP’)**

**TS 4 – Technical Specification for Determination of
Eligible Own Funds**

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1. Introduction

- 1.1. Capital or own funds refer to the amount of capital resources that an insurer has at its disposal to meet regulatory capital requirements.
- 1.2. The following key principles and requirements apply in determining how much of capital is available as Eligible Own Funds ('EOF') to meet the Minimum Capital Requirement ('MCR') and Solvency Capital Requirement ('SCR').
- 1.3. Therefore, available capital or EOF:
 - 1.3.1. Must only include in the appropriate category of own funds (i.e. Tier 1, Tier 2 and Tier 3) those items that meet the detailed criteria specified for that category;
 - 1.3.2. Must ensure all items recognised as EOF are capable of absorbing losses;
 - 1.3.3. Must make certain regulatory adjustments to own funds in order to determine EOF; and
 - 1.3.4. Must comply with the minimum requirements regarding the size and composition of EOF used to meet the SCR and MCR.
- 1.4. This Technical Specification 4 on determination of EOF under ZICARP broadly aims to ensure that an insurer can always meet its policy obligations by holding own funds of sufficient quality and quantity to absorb significant unforeseen losses arising from the risks it is exposed to.



- 1.5. A key objective of the Determination of the EOF Technical Specification 4 under ZICARP is to determine a sound solvency regime such that the insurer's available capital covers the required regulatory capital.
- 1.6. This solvency regime should not only ensure the sufficiency of technical provisions in covering all expected and some unexpected claims and expenses, but also the quantity and quality of available capital to absorb significant unexpected losses to the extent these are not covered by the technical provisions.

Application

- 1.7. This TS 4 applies to all insurers that are licensed and supervised by the Insurance and Pensions Commission ('IPEC' or the 'Commission').

Effective Date

- 1.8. This updated Specification Version 3 is effective 1 January 2023 and should be read in conjunction with Circular 23 of 2021 which implement ZICARP.



2. Duties and Accountabilities under ZICARP

Board of Directors

- 2.1 The ultimate responsibility for the solvency assessment and management of the insurer rests with the Board of Directors ('Board'). The Board of an insurance company must ensure that the insurer always meets all the risk based capital requirements.
- 2.2 Specifically, the Board must always ensure the following under ZICARP:
 - 2.2.1 That an insurer holds appropriate level and quality of capital that is commensurate to the risks to which the insurer is exposed;
 - 2.2.2 That an insurer maintains an appropriate level and quality of Own Funds to meet the SCR on a continuous basis;
 - 2.2.3 That there are procedures put in place to continuously monitor the financial health of the insurer and to identify all possible deteriorations in capital or business conditions of an insurer; and
 - 2.2.4 That IPEC is notified within a reasonable time, normally interpreted as three calendar months of any circumstances that may lead to deterioration of the financial health of an insurer or of circumstances that may cause an insurer to break any of the risk-based capital requirements under ZICARP.

Risk Management Function

- 2.3 The Risk Management Function within an insurer reports to the Board and must:
 - 2.3.1 Provide specialist analysis and perform risk reviews;

- 2.3.2 Identify, measure, monitor and report the risks the insurer faces;
- 2.3.3 Gain and maintain an aggregated view of the risk profile of the insurer at an enterprise-wide and individual business unit level;
- 2.3.4 Conduct regular stress testing and scenario analyses, including in respect of outliers or matters with low probability but high potential impact (Stress Testing and Scenario Analysis framework is included under ORSA); and
- 2.3.5 Have an oversight of ERM and ORSA implementation.

Actuarial Function

- 2.3 The Actuarial Function will report to the Board and provide assurance that the calculations of solvency capital requirements are accurate and compliant with the requirements of the ZICARP framework.

External Auditor

- 2.4 The External Auditor must audit the financial health of an insurer in accordance with its legal and regulatory obligations. The External Auditor must report to the Board of Directors and IPEC any matters identified during the audit process that may cause the insurer not to be financially sound.

Internal Audit

- 2.5 The Internal Audit function shall perform regular independent and objective assessments of key components of the ZICARP framework.

- 2.6 The Internal Audit function shall submit a report to the board of the insurer with its material findings and remediation on key components of the ZICARP framework. Such a report will further be furnished to IPEC within thirty days after conduct of the audit.
- 2.7 However, shall there be material issues which prejudice policyholders or threaten viability of the insurer, the head of internal audit shall immediately report to the Commission.

Compliance Function

- 2.8 The Compliance Function shall have the authority and obligation to promptly inform the chairperson of the board directly in the event of any contravention of the Insurance Act [Chapter 24:07] and any other major non-compliance by a member of management or any staff member for that matter or a material non-compliance by the insurer with the ZICARP framework or an external obligation.
- 2.9 This shall apply where he or she believes that management is not taking the necessary corrective actions and a delay would be detrimental to the insurer or its policyholders. The chairman of the board will be required to report to IPEC any such occurrence and institute an investigation and/or remedial action within seven (7) days.
- 2.10 Detailed roles and accountabilities under ZICARP are further outlined in the TS 1 and Governance and Risk Specifications 2, 3 and 4.



3 General Structure of EOF

- 3.1. Available capital or EOF need to absorb losses from risks not explicitly identified in the technical provisions. EOF comprise of Basic Own Funds ('BOF') and Ancillary Own Funds ('AOF').
- 3.2. BOF are defined as the excess of assets over liabilities, valued in accordance with this Technical Specification, adding back subordinated liabilities, and less any exclusions listed under this Technical Specification.
- 3.3. BOF have tighter admissibility and asset quality characteristics and are determined to cover the MCR, but not the SCR.
- 3.4. AOF allow for lower quality assets and more favourable admissibility. They are available to cover the SCR and not the MCR.
- 3.5. BOF and AOF are allocated into three tiers (Tier 1, Tier 2 and Tier 3) based on an assessment of the characteristics of the individual capital instrument outlined in the list below:
 - a) Loss absorbency,
 - b) Subordination,
 - c) Sufficient duration,
 - d) Free from requirements and incentives to redeem,
 - e) Free from mandatory costs, and
 - f) Free from encumbrances.

3.6. The following table sets out the key principles for allocating own funds into the three tiers based on the criteria set out in the list above.

Tier	BOF	Ancillary Own Funds
Tier 1	Substantially possess characteristics of a) and b), taking into consideration c), d), e), and f).	Not allowed
Tier 2	Substantially possess characteristics of b), taking into consideration c), d), e), and f).	Substantially possess characteristics of a) and b), taking into consideration c), d), e), and f).
Tier 3	If not tier 1 or tier 2	If not tier 2

Table 1: Classification of Own Funds into Tiers



3 Tiering of EOF

- 4.1. Quality and quantity of available capital will be measured by classifying capital into three tiers, where Tier 1 is the highest capital quality and Tier 3 the lowest capital quality.
- 4.2. The criteria below must be met to classify an item as tier 1 BOF:
 - 4.2.1. The item must be the most deeply subordinated or, in the case of other paid-in capital instruments, senior only to the most deeply subordinated tier 1 item in a wind-up situation.
 - 4.2.2. The item must not cause or accelerate the insolvency of the insurer.
 - 4.2.3. The holder of the instrument must not be in a position to petition for the insolvency of the insurer. The instrument must not be considered for the purposes of insolvency checks (either because it is treated as shareholders' equity or it is not treated as a liability in determining balance sheet insolvency – i.e. whether liabilities exceed assets).
 - 4.2.4. The item must be immediately available to absorb losses.
 - 4.2.5. The item must absorb losses at least when the insurer breaches its SCR and it should not hinder its re-capitalisation.
 - 4.2.6. The item must be undated or have a remaining duration before its maturity date of 10 years or greater as at the valuation date. The maturity date is deemed to be the first contractual opportunity to repay or redeem the item unless there is a

contractual obligation to replace the item with a BOF item of the same or higher quality.

- 4.2.7. The item must be repayable or redeemable only at the option of the insurer, subject to approval by the Commission and must not include any incentives to redeem or repay the item.¹
- 4.2.8. The item must provide for the suspension of its repayment or redemption if the insurer breaches its SCR, or would breach it if the instrument were repaid or redeemed. The Commission may waive the suspension of repayment or redemption of the item provided it is exchanged for, or converted into, another BOF item of equivalent or higher quality and the MCR is not breached.
- 4.2.9. The insurer must have full discretion over payment of coupons or dividends or other similar payments. For ordinary share capital, and equivalent items for mutual and mutual-type insurers, the level of distribution must not be in any way tied or linked to the amount paid in at issuance, must not be subject to a cap, and there must be no preference as to the distribution of income or capital.
- 4.2.10. In respect of other paid-in capital instruments, the item must provide for the cancellation of coupons or dividends or other similar payments if the insurer breaches its SCR or if paying the coupon or dividend or other similar payment would breach its SCR. The Commission may waive the cancellation of the

¹ Incentives to redeem can include, but are not limited, to step-ups associated with a call option.

payment of coupons or dividends or other similar payments provided the MCR is not breached.

- 4.2.11. Where an insurer exercises its discretion or is required (because of an actual or potential breach of the SCR) to cancel a coupon or dividend payment, there must be no requirement or entitlement to settle that payment at a future date. Alternative coupon satisfaction mechanisms may be permitted in the case of other paid-in capital instruments where the terms of the instrument provides for coupons or dividends to be settled through the issue of ordinary shares. The use of alternative coupon satisfaction mechanisms is only acceptable if it achieves the same economic result as the cancellation of the coupon (e.g. there would be an equivalent outcome if the reduction of reserves by the amount of the coupon or dividend is matched by an increase in share capital, such that there is no decrease in own funds). To meet this condition, any coupons not paid in cash should be satisfied without delay using unissued ordinary shares, which have already been approved or authorised.
- 4.2.12. The item must be free of any encumbrances and must not be connected with any other transaction which, when considered with the item, could undermine the characteristics and features of the item.² Where an investor subscribes for capital in an insurer and at the same time the insurer has provided financing to the investor, only the net financing provided by the investor may be considered as EOF.

² Examples of potential encumbrances include, but are not limited to, rights of set off, restrictions, charges or guarantees. Refer to Valuation of Assets and Non-technical Liabilities Technical Specification 2 for further details of assets that may result in potential encumbrances.

4.2.13. Items in “other paid-in capital instruments” must possess one of the following principal loss absorbency mechanisms for which a trigger event is a significant breach of the SCR:

- i. The item automatically converts into either ordinary share capital or the initial fund at the trigger event; or
- ii. At the trigger event, the principal amount of the item is written down *pari passu* with retained earnings by the amount of the breach of the SCR and the item can only be written back up again from future profits and on a *pari passu* basis once the insurer complies with the SCR; or
- iii. Some other loss absorbency mechanism that achieves an equivalent outcome to one of the principal loss absorbency mechanisms set out in points i) and ii) above.

4.3. For the purposes of defining a trigger event, a “significant breach” of the SCR is defined as the earlier of the following events:

4.3.1. EOF are equal to or less than 75% of the SCR; and

4.3.2. A breach of the SCR is not resolved within a two-month period.

4.4. The following criteria must be met for classifying an item as tier 2 BOF item:

4.4.1. The item must rank after all policyholders' claims and beneficiaries and non-subordinated creditors.

4.4.2. In the case of a capital instrument that is called-up but not paid-in, the instrument must meet tier 1 criteria, other than the item being fully paid-in and being immediately available to absorb losses.

4.4.3. The item must not cause or accelerate the insolvency of the insurer.



- 4.4.4. The holder of the instrument must not be in a position to petition for the insolvency of the insurer. The instrument must not be taken into account for the purposes of determining whether the insurer is insolvent.
- 4.4.5. The item must either be undated or have an original maturity of five years or more. The maturity date is deemed to be the first contractual opportunity to repay or redeem the item unless there is a contractual obligation to replace the item with a BOF item of the same or higher quality.
- 4.4.6. The item must be repayable or redeemable only at the option of the insurer, subject to the Commission's approval and may include moderate incentives to redeem or repay that item. Incentives to redeem can include but are not limited to step-ups associated with a call option. Step-ups must not apply before five years from the issue date and must not exceed either the highest of 100 basis points or 50% of the initial credit spread in order to be considered moderate.
- 4.4.7. The item must provide for the suspension of its repayment or redemption if the insurer breaches its SCR or would breach it if the instrument were repaid or redeemed. The Commission may waive the suspension of repayment or redemption of the item provided it is exchanged for, or converted into, another BOF item of the same or higher quality and the MCR is not breached.
- 4.4.8. The item must provide for the deferral of payments of coupons or dividends or other similar payments if the insurer breaches its SCR or if paying the coupon, dividends or other similar payments would breach the SCR. The Commission may waive the deferral of the payment of

coupons or dividends or other similar payments provided the MCR is not breached.

4.4.9. The item must be free of any encumbrances and must not be connected with any other transaction which, when considered with the item, could undermine the characteristics and features of the item. Where an investor subscribes for capital in an insurer and at the same time that insurer has provided financing to the investor, only the net financing provided by the investor may be considered as EOF.

4.5. Any BOF item that is not classified as tier 1 or tier 2 may be classified in tier 3 provided that it meets the following criteria:

4.5.1. The item should rank after the claims of all policyholders and beneficiaries and non-subordinated creditors.

4.5.2. The item must not cause or accelerate the insolvency of the insurer.

4.5.3. The item must be undated or have an original maturity of at least three years. The maturity date should be deemed to be the first contractual opportunity to repay or redeem the item unless there is a contractual obligation to replace the item with a BOF item of the same or higher quality.

4.5.4. The item must provide for the suspension of its repayment or redemption if the insurer breaches its SCR or would breach it if the instrument were repaid or redeemed. The Commission may waive the suspension of repayment or redemption of the item provided it is exchanged for, or converted into, another BOF item of the same or higher quality and the MCR is not breached.

4.5.5. The item must provide for the deferral of payments of coupons or dividends or other similar payments if the insurer breaches its MCR or



paying the coupon, dividend or other similar payment would breach the MCR.

- 4.5.6. The item must be free of any encumbrances and must not be connected with any other transaction, which, when considered with the item, could undermine that instrument's classification as BOF. Where an investor subscribes for capital in an insurer and at the same time that insurer has provided financing to the investor, only the net financing provided by the investor may be considered as EOF.

4 Regulatory Deductions

- 5.1. A number of regulatory deductions must be made from BOF for financial soundness purposes to determine EOF that may be used to meet the SCR and MCR.
- 5.2. These deductions are detailed below, and such deductions should not be considered in the SCR calculation.

Investments in an insurer's own holding company

- 5.3. Any unlisted ordinary shares held by an insurer in any company that holds a direct or indirect controlling stake in that insurer must be fully deducted from that insurer's BOF.
- 5.4. Any listed ordinary shares held by an insurer in any company that holds a direct or indirect controlling stake in that insurer in excess of 5% of the total non-linked assets of the insurer must be deducted from that insurer's BOF.
- 5.5. An insurer may hold bonds and other capital instruments in any company that holds a direct or indirect controlling stake in the insurer. To the extent that such bonds and other capital instruments are treated by the company holding a direct or indirect controlling stake as part of its BOF, these instruments must not be included in the insurer's BOF unless the investment risk is carried by the policyholders.



- 5.6. For clarity, an insurer may hold investments in companies that in turn own shares in the insurer. Such holdings must be appropriately taken into account in the calculation of the SCR.

Own shares of an insurer

- 5.7. Where an insurer bears any investment risk from its holding of own shares, the insurer's own shares must be deducted from BOF.
- 5.8. Where the policyholders of an insurer carry at least some degree of investment risk for the own shares held by the insurer, the "delta Own Funds" calculation set out in Section 5.9 below should be performed. If the "delta Own Funds" calculation is not able to be performed by an insurer, a reasonable estimation must be calculated, and the insurer must disclose to IPEC reasons for applying an estimation.
- 5.9. The "delta Own Funds" calculation must estimate the impact on technical provisions and Own Funds of setting the price of the insurer's own shares to zero. The result of the delta Own Funds calculation must be deducted from BOF.
- 5.10. Where the "delta Own Funds" calculation, or the reasonable estimate thereof, results in an immaterial adjustment to Own Funds (less than 5%), a deduction is not required.
- 5.11. Any own shares deducted from Own Funds, as specified above, should not be taken into account in the SCR calculation.
- 5.12. Where there is evidence of a group of connected transactions whose economic effect is the same as that of holding own shares, the assets

that are generated by those transactions should be treated on the same basis as described in Sections 5.7 to 5.11.

Cash and deposits at a bank within the same financial conglomerate

- 5.13. Any cash balances and short-term deposits in excess of 15% of the nonlinked assets of an insurer, which are held at a bank that is part of the same financial conglomerate as the insurer, must be fully deducted from BOF.

Restricted reserves

- 5.14. Any Own Funds related to restricted reserves that are in excess of that covering the related risks should be deducted from BOF, if such assets are not available in going concern or a wind-up.

Participations in financial and credit institutions

- 5.15. Participations in financial institutions and credit institutions (excluding insurance-related businesses) must be fully deducted from BOF. For the avoidance of doubt in property investment companies will not be deducted from BOF.

Net deferred tax assets

- 5.16. Any net deferred tax assets recognised in Tier 1 BOF must be fully deducted from Tier 1 and recognised as Tier 3 BOF.
- 5.17. Cell captive insurers should refer to Regulatory Deductions for Ringfenced Funds sub-section of this TS for specific details about the regulatory deductions for promoter business and cell structures.

Regulatory Deductions for Ring-fenced Funds

5.18. This sub-section describes how cell captive insurers should apply regulatory deductions.

5.18.1. For cell captive insurers, the requirements set out in points 5.3 to 5.13, should be applied separately to the BOF of the promoter business and to the BOF of each individual cell.

5.18.2. When applying these requirements to each individual cell, the following adjustments should be made:

5.18.2.1. The restrictions outlined in points 5.3 to 5.6 also apply to the cell's investment in all companies that hold a direct or indirect controlling stake in either the insurer or the cell owner;

5.18.2.2. Treatment applied to non-linked assets of insurers in point 5.4 also applies to the individual cells;

5.18.2.3. The restrictions of this TS in points 5.7 to 5.12 should apply to the cell's investment in shares of both the insurer and the cell owner; and

5.18.2.4. The restrictions outlined in this TS on point 5.13 should apply to all cash balances and short-term deposits of non-linked assets of the cell, which are held at a bank that is part of the same financial conglomerate as the insurer or the cell owner.

5.18.3. When applying the requirements in this TS's points 5.3 to 5.13, only assets, investments, liabilities, capital instruments and own funds relating to the promoter business should be taken into account.



TS 4 A1: GENERAL LIMITS ON CAPITAL

Further illustration of tier system of capital is tabulated below:

Tier	General limits on capital
1	Must make up a minimum of 50% of SCR; Subordinated Debt must not be more than 20% of Tier 1 Capital; Subordinated Debt should only be included if it issued for minimum of 30 years non-call
2	Tier 2 must always be greater than Tier 3 Capital, that is to say it must be at most 35% of SCR Subordinated debt is included if it has a minimum of 10 years non-call
3	Must not be greater than 15% of the SCR Subordinated debt is included if it has a minimum of 3 years non-call



TS 4 A1: GLOSSARY

Basic Own Funds: are defined as the excess of assets over liabilities, valued in accordance with this Technical Specification, adding back subordinated liabilities, and less any exclusions listed under this Technical Specification. BOF have tighter admissibility and asset quality characteristics and are determined to cover the MCR, but not the SCR.

Number of regulatory deductions: must be made from BOF for financial soundness purposes to determine EOF that may be used to meet the SCR and MCR.